

he says. Besides, India can take the lead in facilitating cross-border trade, he says, especially with enhanced payment system integration. “To this end, regulatory gaps, impediments, and non-tariff barriers should be effectively addressed,” he adds.

But first, there are challenges it must overcome. Infrastructure gaps between member states are crucial, as they can hinder trade. It must also ensure an equitable distribution of benefits from the bloc’s initiatives.

A framework for a comprehensive Free Trade Agreement (FTA) was signed in 2004, but negotiations have been slow. A trade facilitation agreement is still being worked out, while a draft for customs co-operation is nearing completion. Surendar Singh, Associate Professor of International Business Area at the FORE School of Management, says, “India has the potential to make BIMSTEC a successful regional trading bloc, but it needs to put more political capital into resolving its bilateral issues with other [member] countries, particularly Bangladesh and Sri Lanka.”

One reason for the slow progress on the FTAs could perhaps lie in the conception of BIMSTEC, EY’s Sen explains. It was initially seen as an instrument to promote regional co-operation in areas such as trade, investment, technology, and tourism. “The framework for an FTA came later in 2004, but since India was already engaged with the BIMSTEC members in other FTAs, I feel this initiative was never followed up seriously,” he adds. Besides, the emergence of other sub-regional initiatives like BCIM (Bangladesh-China-India-Myanmar Forum) can raise doubts about BIMSTEC’s relevance.

“As a stable secular pluralistic democracy with a history of non-aggression and level-headed foreign policy and international engagement, India is ready to lead BIMSTEC,” says Sudarsan of JSA. And given India’s sustained economic growth and its history of co-operation with neighbours, it is well positioned to make BIMSTEC a success, he adds.

BEYOND THE BAY

Beyond its immediate vicinity, BIMSTEC also assumes importance in realising the goals of security and development in the Indo-Pacific Oceans Region (IPOR), which also includes other countries in South Asia and Southeast Asia, and those in West Asia, Pacific Ocean countries, and the eastern rim of Africa.

Singh says India and Thailand could serve as anchors in this region. “Integration of BIMSTEC into the larger Indo-Pacific framework will certainly enhance regional economic integration and contribute to growth and development. Moreover, BIMSTEC’s focus on non-traditional security threats like climate



“Increased cross-border trade in the Bay of Bengal region, facilitated by India’s policies, would benefit from enhanced payment system integration/fungibility”

VISHNU. P. SUDARSAN
PARTNER, JSA ADVOCATES
& SOLICITORS



“India and Thailand could serve as anchors to the Bay of Bengal region to boost regional connectivity, trade and security co-operation”

SURENDAR SINGH
ASSOCIATE PROFESSOR,
FORE SCHOOL OF
MANAGEMENT

change, natural disasters, and transnational crime aligns with the priorities of Indo-Pacific countries.”

Therefore, it makes sense that the leading countries in the IPOR and multilateral organisations include BIMSTEC in their policies and programmes. “BIMSTEC provides a vital regional platform to pursue co-operation in various domains, and it is poised to play a much bigger role in the future than it did in the past,” says Pandey.

Sen adds that by leveraging BIMSTEC, countries and organisations can work together to address shared challenges and capitalise on opportunities. “However, for that to happen, the grouping has to become more cohesive. Not just an FTA with common infrastructure, but a greater degree of social and economic integration will be a prerequisite.”

Over now to the summit in September. **BT**

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